

Background Information

Paste relevant context — company details, industry data, stakeholder concerns, prior decisions — to inform this evaluation and AI report.

Costco Wholesale Corporation operates ~870 warehouse clubs globally, with ~310,000 employees (US). The company has a track record of above-market wages and employee-first policies. This evaluation examines a proposed company-wide minimum wage increase to \$25/hr. Context: current US federal minimum is \$7.25/hr. Costco's current average is ~\$23/hr. The decision

STAKEHOLDERS CONSULTED

Board of Directors, CFO, Regional VPs, Employee Representatives, Institutional In

Proposed Action

Costco Wholesale company-wide wage increase to \$25/hr minimum across all locations

● Benefit Ratings

8.4 / 10

Social Impact / Harm Reduction

Directly raises wages for ~310K US workers; measurable community benefit.

Stakeholder Trust

Strengthens employee trust and brand loyalty; documented in prior Costco wage actions.

Workforce Stability & Well-being

Reduced turnover historically proven at Costco after prior wage increases.

Product / Service Quality

Engaged workforce historically linked to fewer customer service errors.

Long-term Viability & Fairness

Precedent at Costco: prior wage increases correlated with revenue growth.

● Cost Ratings

6.9 / 10

Margin Impact

Estimated 0.3–0.5% net margin reduction based on labor as ~70% of operating cost.

Labor Time

HR program changes required; limited to 1 FTE per region for implementation.

Operational Complexity

Payroll system updates and benefits recalculation required across 870 clubs.

Supply Chain Risk

Minimal; supplier wages not directly impacted.

Opportunity Cost

Defers one regional expansion per analyst estimate.

● Conditional Adoption Filter

4/5 YES

Apply only to ENCOURAGED actions (or high-cost REQUIRED). This filter ensures bold ethical choices remain viable and pragmatic — as modeled by Costco's phased benefit expansions.

 Answer Yes/No below. Provide a brief note explaining your reasoning for each checked item.

Phased rollout across 3 regions in Q1

Quarterly stakeholder reporting committed

Improves workforce + customer retention scores

Voluntary employment; market-driven pricing retained



Adopt Immediately

Ethical/strategic imperative met.

● **Assessment Summary**

PROPOSED ACTION

Costco Wholesale company-wide wage increase to \$25/hr minimum across all locations

STAKEHOLDERS CONSULTED

Board of Directors, CFO, Regional VPs, Employee Representatives, Institutional Investors, Community Partners

ENCOURAGED | Benefit 8.4 Cost 6.9

BENEFIT CRITERIA

H	Social Impact / Harm Reduction	9/10
H	Stakeholder Trust	8/10
H	Workforce Stability & Well-being	9/10
M	Product / Service Quality	8/10
H	Long-term Viability & Fairness	8/10

COST CRITERIA

H	Margin Impact	7/10
M	Labor Time	6/10
M	Operational Complexity	7/10
L	Supply Chain Risk	6/10
M	Opportunity Cost	8/10

CONDITIONAL ADOPTION FILTER

Conditional Adoption

- YES**
Phased rollout across 3 regions in Q1
- YES**
Quarterly stakeholder reporting committed
- YES**
Improves workforce + customer retention scores
- YES**
Voluntary employment; market-driven pricing retained
- NO**

● Executive Analysis

Approve the company-wide minimum wage increase to \$25/hr, implemented on a defined timetable. The central case is that Costco's competitive advantage is built on integrity and fairness toward employees, which reliably converts into trust, service quality, and retention that competitors struggle to replicate. Moving decisively reinforces promise-keeping in the employee-first model and strengthens responsible citizenship in communities where Costco is a major employer, protecting the brand's long-term legitimacy and performance.

The pivotal tension is not whether the workforce benefits are real, but whether leadership can defend near-term margin compression without eroding the very trust the decision is meant to strengthen. If the raise is framed as a moral statement without an operating plan, investors will treat it as undisciplined, and internal leaders will quietly squeeze hours, staffing ratios, or promotion velocity—undermining fairness and service quality. Conversely, if the raise is treated purely as a cost line, the company forfeits the integrity dividend and invites a credibility gap with employees who have come to expect Costco to lead rather than follow the market.

Within 30 days, set and communicate a single enterprise implementation design: effective dates by region, compression adjustments for leads and tenured roles, and a guardrail that prevents offsetting the raise through hidden reductions in hours or scheduling stability. Within 60 days, stand up board-level oversight with a quarterly dashboard that ties the raise to turnover, absenteeism, shrink, membership renewal, and customer experience, with pre-authorized operational levers to protect service levels before cutting labor. Within 90 days, execute a structured "test within rollout" by selecting representative clubs to validate wage compression, staffing models, and pricing/mix assumptions, then lock the enterprise playbook and investor narrative for the following quarter.

